

Agent360 Commission Platform

Super Agent and Franchise Portal

1. SYSTEM OVERVIEW

1.1 Purpose

A commission platform that automates and perform commission calculation and management portal that enables Agency Banking to manage Super agents and Franchises to:

- Monitor and manage agents
- Track transaction and commission payment history
- View commission calculations and ratings
- Monitor agent status (active/inactive)
- Access performance analytics

1.2 User Types

- **Super Agents:** Manage local agents with performance-based commission structure
 - Super Agent:
 - Administrator:
 - **Franchises:** Manage agents with turnover-based commission structure
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2. SUPER AGENT COMMISSION STRUCTURE

2.1 Overview

Super Agents earn **20% commission** from total transactions of served agents in a given month.

2.2 Commission Breakdown

- **Fixed Commission:** 30% of total eligible commission
- **Variable Commission:** 70% of total eligible commission

2.3 Performance Threshold (Baseline)

Minimum Requirement: Agents must transact **≥100,000 TZS** per month

- If threshold is met → Agent qualifies for commission calculation
- If threshold is NOT met → Agent excluded from commission pool

2.4 Variable Commission KPI Structure (70%)

The variable commission is calculated based on three Key Performance Indicators:

KPI	Description	Weight
Agent Activeness (AA)	Percentage of active agents vs total agents	55%
Value Transacted (VT)	Actual transactions vs expected transaction value	20%
Unique Agents (UA)	Number of unique agents who transacted	25%

KPI Band	KPI Rate
<50 %	0
51% - 60%	20
61% - 70%	40
71% - 80%	60
81% - 90%	80
91% - 100%	100

- This weight based indicators can be configurable with possibility to add more KPI in the next phase

2.5 Commission Calculation Formula

Total Eligible SA Commission = 20% × Total Commissions (of qualifying agents)

Fixed Base Commission = Total Eligible SA Commission × 30%

Variable Commission = Total Eligible SA Commission × 70%

Actual SA Commission = Variable Commission × KPI Score

Where:

KPI Score = (Agent Activeness × 55%) + (Value Transacted × 20%) + (Unique Agents × 25%)

Final Super Agent Commission = Fixed Commission + Variable Commission Actual

2.6 Example Calculation

Scenario:

- Monthly target: 100,000,000 TZS
- Actual value transacted: 85,000,000 TZS out of 100,000,000 (0.85)
- Active agents under Super Agent: 22 out of 25 (0.88)
- Unique agents transacted: 20 out of 25 (0.8)

- Total Agents Commissions 220,0000

Calculation:

Total Eligible SA Commission = $220,0000 \times 0.20 = 44,000$ TZS

Fixed Base Commission = $44,000 \times 0.30 = 13,200$ TZS

Variable Commission = $44,000 \times 0.70 = 30,800$ TZS

KPI Score = $(0.88 \times 55)\% + (0.85 \times 20)\% + (0.80 \times 25)\%$

= $48.4\% + 17\% + 20\%$

= 85.4%

KPI pay band -> 80%

Actual SA Commission = $80\% \times VC$

Variable Commission Actual = $VC \times \text{KPI Payband}$

= $30,800 \times 80\%$

= 24,000

Final Commission =

Final Commission = 24,000 TZS

3. FRANCHISE COMMISSION STRUCTURE

3.1 Overview

Franchises earn **0.05%** of gross turnover (deposits to agents) with performance-based multipliers.

3.2 Commission Model

Base Commission Rate: 0.05% of Capital Advanced (CA)

Multiplier: 4.5% (used for performance threshold calculation)

3.3 Performance Threshold

Agents must transact **≥4.5x** (450%) of deposited capital within a month to achieve 100% commission payout.

Example:

- Franchise deposits: 1,000,000 TZS to agent
- Required agent transactions: 4,500,000 TZS ($1M \times 4.5$)
- If achieved → Franchise gets full commission with 0% clawback

3.4 Payband & Apportion Structure

Performance Level	Performance %	Apportion Rate	Clawback
Excellent	≥100%	1.0	0%
Good	80-99%	0.8	20%
Average	60-79%	0.6	40%
Below Average	40-59%	0.4	60%
Poor	<40%	0.2	80%

3.5 Commission Calculation Formula

Base Commission = Capital Advanced (CA) × 0.05 %

Performance % = (Actual Agent Transactions / (CA × 4.5) × 100 %

Final Franchise Commission = Base Commission × Apportion Rate

Clawback Amount = Base Commission × (1 - Apportion Rate)

3.6 Example Calculations

Example 1: Excellent Performance

Capital Advanced: 2,000,000 TZS

Agent Transactions: 7,500,000 TZS

Performance: $7,500,000 / (2,000,000 \times 4.5) = 80\%$

Performance: Good

Base Commission = $7,500,000 \times 0.05 \% = 375,000$ TZS

Apportion = 0.8

Final Commission = $375,000 \times 0.8 = 300,000$ TZS

Clawback = 75,000 TZS

Commission= 300,000

Example 2: Below Average Performance

Capital Advanced: 1,000,000 TZS

Agent Transactions: 2,000,000 TZS

Performance: $2,000,000 / (1,000,000 \times 4.5) = 40\%$

Performance: Below Average

Base Commission = $2,000,000 \times 0.05 \% = 100,000$ TZS

Apportion = 0.4

Final Commission = $100,000 \times 0.4 = 40,000$ TZS

Clawback = 60,000

Commission = 40,000

Example 3: Poor Performance

Capital Advanced: 1,000,000 TZS

Agent Transactions: 1,500,000 TZS

Performance: $1,500,000 / (1,000,000 \times 4.5) = 30\%$

Base Commission = $1,500,000 \times 0.05\% = 75,000$ TZS

Apportion = 0.2

Final Commission = $75,000 \times 0.2 = 15,000$ TZS

Clawback = 60,000

Commission = 15,000

4. AGENT STATUS DEFINITIONS

4.1 Active Agent

- Has completed at least one transaction in the current month
- Meets minimum transaction threshold (if applicable)
- Eligibility

4.2 Inactive Agent

- **No transactions for 1 full month**
- Automatically flagged as inactive by the system
- Does not contribute to commission calculations
- Excluded from KPI metrics

4.3 Status Update Frequency

- **Real-time:** Transaction-based status should be fed from Agency banking
 - **Monthly:** Automatic inactive status assignment on month-end
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5. PORTAL FEATURES & FUNCTIONALITY

5.1 Dashboard (All Types)

- **Commission Summary**
 - Current month commission (projected)
 - Previous month commission (finalized)
 - 3 Months Old Max
- **Agent Overview**
 - Total agents served
 - Active agents count
 - Inactive agents count
 - Agent status distribution chart

- **Transaction Metrics**
 - Total transaction value
 - Transaction count
 - Average transaction value
 - Month-on-month comparison

5.2 Super Agent Specific Features

5.2.1 Performance Dashboard

- KPI Score breakdown (daily updates)
- Agent activeness percentage (55% weight)
- Value transacted (20% weight)
- Unique agents transacted (25% weight)
- Fixed vs Variable commission split

5.2.2 Agent Management

- Agent list with filters (active/inactive/all)
- Individual agent performance metrics
- Transaction history per agent
- Agents meeting 100k threshold indicator

5.2.3 Commission Reports

- Monthly commission statement
- KPI performance trends
- Commission forecast (based on current month activity)
- Downloadable reports (PDF/Excel)

5.3 Franchise Specific Features

5.3.1 Capital & Performance Dashboard

- Total capital advanced to agents
- Required transaction value (4.5x multiplier)
- Actual transaction value
- Performance percentage by agent
- Payband distribution chart

5.3.2 Agent Portfolio Management

- Capital advanced per agent
- Agent transaction multiplier status
- Clawback calculations
- Risk indicators using AI prediction model (agents below 60% performance)

5.3.3 Financial Reports

- Gross turnover summary
- Commission earned vs potential
- Clawback analysis
- Agent performance ranking
- ROI metrics per agent

5.4 Shared Features

5.4.1 Transaction History

- Searchable transaction log
- Date range filters
- Agent filters
- Transaction type filters
- Export functionality

5.4.2 Analytics & Insights

- Performance trends (monthly/quarterly/yearly)
- Agent growth metrics
- Commission forecasting
- Comparative analysis
- Custom date range reports

5.4.3 Notifications & Alerts

- Commission calculation completed
- Agent status changes
- Performance threshold alerts
- Monthly statements available

6. BUSINESS RULES & VALIDATIONS

6.1 Super Agent Rules

1. Agent must transact $\geq 100,000$ TZS to qualify for commission calculation
2. Only active agents count toward KPI metrics
3. Commission calculated monthly on the 1st of following month
4. Fixed commission (30%) is guaranteed if threshold is met
5. Variable commission (70%) scales with KPI performance
6. KPI weights are fixed: Activeness (55%), Value (20%), Unique (25%)

6.2 Franchise Rules

1. Commission based on gross turnover deposit (capital advanced)
2. Agent must transact $\geq 4.5x$ capital to achieve 100% apportion
3. Payband determines actual commission payout
4. Clawback applied for underperformance
5. Inactive agents (no transactions for 1 month) excluded
6. Commission calculated per agent, aggregated per franchise

6.3 Agent Status Rules

1. **Active:** At least 1 transaction in current month
 2. **Inactive:** No transactions for ≥ 30 days
 3. Status updated automatically daily
 4. Inactive agents excluded from all commission calculations
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7. REPORTING REQUIREMENTS

7.1 Super Agent Reports

- **Monthly Commission Statement:** Detailed breakdown of fixed and variable commission
- **KPI Performance Report:** Individual KPI scores and trends
- **Agent Activity Report:** Transaction volumes per agent
- **Inactive Agent Report:** List of agents who became inactive
- **Forecast Report:** Projected commission based on current month performance

7.2 Franchise Reports

- **Monthly Commission Statement:** Agent-by-agent commission breakdown
- **Capital Utilization Report:** ROI per agent
- **Payband Distribution Report:** Performance levels across portfolio
- **Clawback Analysis:** Lost commission due to underperformance
- **Risk Alert Report:** Agents consistently below 60% performance

7.3 System Reports

- **Transaction Volume Report:** Overall system activity
 - **Commission Liability Report:** Total commissions payable
 - **Agent Status Report:** Active vs inactive distribution
 - **Performance Trends:** Month-over-month comparisons
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8. TECHNICAL CONSIDERATIONS

8.1 System Requirements

- **Database:** Relational database (PostgreSQL/MySQL)
- **Backend:** API-based architecture (REST/GraphQL)
- **Frontend:** Responsive web application
- **Mobile:** Mobile-responsive design or native apps
- **Security:** Role-based access control, encrypted data

8.2 Performance Requirements

- Real-time transaction updates
- Sub-second dashboard load times
- Batch processing for month-end calculations
- Report generation within 5 seconds

8.3 Integration Requirements

- Core banking system integration
 - Transaction processing system
 - Payment gateway for commission disbursement
 - SMS/Email notification service
 - Document generation service (PDF reports)
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9. USER ACCESS & PERMISSIONS

9.1 Super Agent Access

- View own commission calculations
- View assigned agents' performance
- View transaction history (own agents only)
- Generate own reports
- Update profile information
- Cannot modify commission rates or rules

9.2 Franchise Access

- View own commission calculations
- View capital advanced and utilization
- View assigned agents' performance
- View transaction history (own agents only)
- Generate own reports
- Update profile information
- Cannot modify commission rates or rules

9.3 Agency Banking (Analyst)

- Manage all agent (Super Agent, Franchise, Agent)
- Configure commission rates and rules
- Override commission calculations (with audit trail)
- Run Commission Calculations on Agents
- Access all transactions data
- Access all commission reports and past commissions
- Access all reports and analytics

9.3 Admin Access (System Administrator)

- Manage all users (Analyst, Super Agent, Franchise, Agent)
 - Configure commission rates and rules
 - Override commission calculations (with audit trail)
 - Access all reports and analytics
 - System configuration and settings
 - Help Center and FAQ
 - User view and permission
 - User role management
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10. APPENDIX

10.1 Glossary

- **CA:** Capital Advanced - money deposited to agents by franchise
- **KPI:** Key Performance Indicator
- **Apportion:** rate to be paid based on performance percentage
- **Clawback:** Commission withheld due to underperformance
- **Payband:** Performance tier determining apportion rate
- **Baseline:** Minimum threshold (100k TZS for Agents)
- **Multiplier:** Performance factor (4.5x for Franchises)

12.2 Revision History

Version	Date	Changes	Author
1.3	2026-1-23	Updated documentation	Firmworks Softsystems
